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WeiChai Power | Asia Pacific

2Q26 Post Result Call - Raised AIDC Power Shipment Guidance

Management expects solid diesel demand and a major gas genset ramp in 2027, supported by strong orders, capacity expansion and overseas localization. The company has adapted its operations due to US policy uncertainties. Stay OW on attractive valuation.

Diesel engines for AIDC backup power remains the near-term volume driver, with strong visibility into 2027. 1H26 diesel shipment reached 1.4K units, of which the North America represented ~20%. Management guides for 4K+ units shipment in 2026, including 1K+ in NA. Mgmt expects this to increase to >6K units in 2027, with NA market at >2K units.

Gas genset is positioned for a major ramp from 2027.

- Weichai's gas genset has passed UL certification, and batch shipments should begin in Sep–Oct, with 200–300 units targeted this year before increasing to >2K units in 2027, backed by customer orders (contract liabilities increased Rmb3bn q-q by 2Q).
- The 3MW gas genset is likely to start shipment by year-end, 5MW product is under R&D with demo to be prepared by end-2026 as well.
- Management estimates cumulative industry demand is at 25–30k units in aggregate in 2026–30, equivalent to 5–6k units/year, this suggests a one-third NA market share for Weichai in 2027.
- The pricing of gas genset to US is benchmarked against Caterpillar at roughly US\$0.6–0.7mn/MW.
- Aftermarket offers additional upside. Weichai said it is building a full-lifecycle service model benchmarked against CAT/Jenbacher, supported by integrated sales, technical and service teams in NA. Service models range from technical support to full O&M.

Proactive capacity expansion. Diesel and gas gensets share production lines, with gas capacity ramping. Mgmt expects >9K units of available capacity in 2027. Overseas localization is also accelerating - France targets ~500 large DC gensets, rising to 1K units next year, while a 2–3k units manufacturing base for WeiChai is being planned in the US.

SOFC capacity build-up on track. Mgmt targets 30MW by end-2026 and 200MW by end-2027, with small scale delivery this year. Mgmt is positive on the cost advantage in the long-term vs. peers when the scale ramps. In the long-term, mgmt thinks SOFC (Solid Oxide Fuel Cell) may occupy the high-end gas turbine/gas engine market. *(continued on next page)*

MORGAN STANLEY ASIA LIMITED+

Sheng Zhong

Equity Analyst

Sheng.Zhong@morganstanley.com

+852 2239-7821

Chelsea Wang

Equity Analyst

Jinlin.Wang@morganstanley.com

+852 2239-1118

Carlos Chai

Research Associate

Carlos.Chai@morganstanley.com

+852 3963-3180

Andy Huang

Research Associate

Huang.Andy@morganstanley.com

+852 3963-4023

WeiChai Power (2338.HK, 2338 HK)

China Industrials | China

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$47.00
Up/downside to price target (%)	49
Shr price, close (Aug 27, 2026)	HK\$31.60
52-Week Range	HK\$45.44-13.62
Sh out, dil, curr (mn)	1,943
Mkt cap, curr (mn)	Rmb235,715
EV, curr (mn)	Rmb194,063
Avg daily trading value (mn)	HK\$511

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.25	1.64	2.14	2.57
Net income (Rmb mn)**	10,931	14,273	18,640	22,428
P/E	13.5	16.6	12.7	10.5
P/BV	1.6	2.3	2.1	1.9
Div yld (%)	4.3	3.5	4.7	5.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Cont'd

US Executive Order 14420 remains a manageable risk for now. Management sees limited impact for off-grid distributed power generation, with diesel and gas gensets unaffected. Weichai said it is working with external legal counsel to assess potential implications, while proactively localizing its supply chain in the US/Europe to mitigate potential regulatory risks.

NEV powertrain business in rapid growth. 1H26 achieved nearly 5GWh and the capacity will ramp-up to 30GWh by end 2026. NPM is at 2-3%.

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Valuation Methodology and Risks

WeiChai Power (2338.HK)

For the traditional engine and truck business, we apply a 10x 2026e P/E multiple, broadly in line with its eight-year historical average FY1 P/E of 11x. For the AIDC business, we apply an 80x 2026e P/E multiple. We value KION and PSI based on their respective market capitalizations and Weichai's ownership stakes.

Risks to Upside

- Stronger-than-expected powering AI capex globally.
- Better-than-expected volume growth in engine and HDT sales due to stronger policy stimulus.

Risks to Downside

- Slower-than-expected AIDC shipment to US customers.
- Market share loss in engine/HDT market.

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

WeiChai Power (2338.HK) - As of 08/28/26 GMT in HKD
Industry : China Industrials



Stock Rating History: 8/1/21 : O/I; 9/8/21 : E/I; 2/4/23 : E/A; 1/5/24 : O/A; 1/8/25 : O/I; 9/8/25 : E/I; 3/30/26 : O/I

Price Target History: 1/20/21 : 26; 9/8/21 : 21; 11/1/21 : 16.9; 4/4/22 : 16; 6/30/22 : 14.5; 12/13/22 : 9.8; 5/23/23 : 12; 1/5/24 : 18; 3/11/24 : 18.4; 4/2/24 : 20; 10/8/24 : 18; 11/5/24 : 16; 2/27/25 : 20; 5/19/25 : 19; 7/14/25 : 17.5; 9/8/25 : 17; 1/22/26 : 26.2; 3/30/26 : 32; 5/5/26 : 47

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/27/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.41
China Railway Group (0390.HK)	E (08/11/2025)	HK\$3.45
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.43
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb90.00
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb15.97
iRay Technology Company Limited (688301.SS)	O (07/07/2026)	Rmb98.38
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb51.76
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb99.32
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb65.97
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$10.25
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb15.05
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK\$5.30
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb6.21
DR Laser (300776.SZ)	E (12/17/2021)	Rmb115.81
Estun Automation Co Ltd (002747.SZ)	E (08/25/2026)	Rmb31.81
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$17.51
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb34.02
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb13.22
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb103.00
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb45.18
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb299.30
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb19.06
Shenzhen Inovance Technology (300124.SZ)	++	Rmb62.12
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb56.18
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$41.58
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb225.80

Times Electric (3898.HK)	E (01/22/2026)	HK\$32.26
WeiChai Power (2338.HK)	O (03/30/2026)	HK\$31.60
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb26.99
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb45.55
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb33.77
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb57.80
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb22.26
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb35.79
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$6.96
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.09

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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